When the financial results were announced, JLR's pre-tax profit had risen to £1.12 billion ($1.7 billion). In less than three years, the acquisition had gone from being a 'troublesome trophy to the biggest cash-generating unit of Tata Motors, contributing the vast majority' of the company's '$2.1 bn net profit in the financial year' ending March 2011.

Ratan's conviction that the Chinese and Russian markets held great promise turned out to be a precise assessment too. During the period 2008–09 to 2012–13, the sales of both the Jaguar and the Land Rover in China increased by nearly 774 per cent, in comparison to the overall increase of nearly 76.49 per cent for all the regions (except China) put together.

Driving Home

With JLR spinning cash, Ratan now had the resources to pursue his goal of maintaining JLR's competitive edge. He shifted focus to R&D. In February 2011, Tata Motors announced that it would spend about £1 billion or Rs 7,300 crore on research and product development. In April, the company announced that it would invest, on an annual basis, £1.5 billion every year for the next five years on product development. It was singularly aimed to 'catch up with global luxury car makers and position itself as a top premium brand'.

One of the main objectives of undertaking research and product development was to introduce newer models in the market. In June that year, Ratan announced, 'The company has undertaken its most ambitious product development programme in its history, and will be launching several new sports sedans and sports cars in the next two years in order to provide dealers with a more competitive and wider product range.'

As a result of the emphasis on R&D, in September 2012, Tata Motors unveiled the Jaguar F-Type, a two-seater sports car, the successor to the 1961 E-Type. The F-Type had been 'under development' even when Ford had bought the company in 1989. But the 'British classic' never saw the light of day until it was 'revived by Indian owners', wrote *The Economist*.

The F-Type held a 'very personal place' in Ratan's heart. He said, 'When we acquired Jaguar, there was no true sports car in the model line-up and nothing in the future plans … We needed to re-create the image of Jaguar, once again, by building beautiful, fast cars. I think we achieved that with the F-Type.'